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China Industrial Equipment

What's New from Citi's 2026 China Elite Corporate Day – Implication of Price Inflation on Excavator

CITI'S TAKE

XCMG (000425.SZ) and Sany (6000031.SS | 6031.HK) attended our conference today. [Sany, XCMG and LiuGong](#) all announced to raise their excavator ASP by 3-5% (5% for Sany and LiuGong; 3%-5% for XCMG), starting from 15 May (Sany), 20 May (LiuGong), and 1 June (XCMG), to reflect rising raw material costs and labour cost pressure. However, XCMG and Sany mgmt. expect the price inflation would not fully pass thru to end-customers but likely to recoup higher pricing discount from early this year triggered by Zoomlion. And we expect this may not extend the price inflation into other equipment like tower cranes, AWP, forklifts, etc. That said, the price inflation on excavation may indicate the end of the price war on excavator. Among Industrial equipment chain, our stock preference is **Hengli Hydraulic > Zoomlion > Sany > Hangcha but Sell on Dingli and Heli**.

Excavator seems the only machinery category with price inflation – XCMG and Sany both expect price inflation may not fully pass thru to end-customers but likely to offset the higher discount from early this year which was triggered by Zoomlion. As such, the price inflation would indicate the end of the price war which has lasted for the past few years. The price inflation seems applicable on excavator for improving demand in light of increasing mining activities (large tonnes) and sustainable replacement of construction workers (small tonnes). **Fig 1** also shows the growth acceleration on domestic excavator in recent months. However, we expect the price inflation may not extend into other categories like tower cranes, concrete machinery, AWP, forklifts, etc.

Material costs remain manageable – In addition, **Fig 2-5** exhibit the recent trend of most commonly used material costs on those machinery. XCMG and Sany see the material cost inflation remains manageable YTD though the cost pressure is emerging. In view of their being market leaders and high industry concentration of excavator, their material suppliers (like battery or engine) may not completely pass thru the commodity cost inflation to those machinery giants (like XCMG, Sany, Zoomlion, etc).

Unlikely price inflation on Dingli, Hangcha, Heli, Haitian – Per our checking with Dingli, Hangcha, Heli and Haitian, they all believe the ASP inflation is more limited to excavator and they have no intention of price inflation to AWP (from **Dingli**), Forklift (from **Hangcha and Heli**) and Plastic Injection Molding Machine (from **Haitian**) in view of expectation of soft demand this year. This results from muted China FAI growth and softening domestic consumption. We still keep our negative stance on **Dingli and Heli with Sell rating**.

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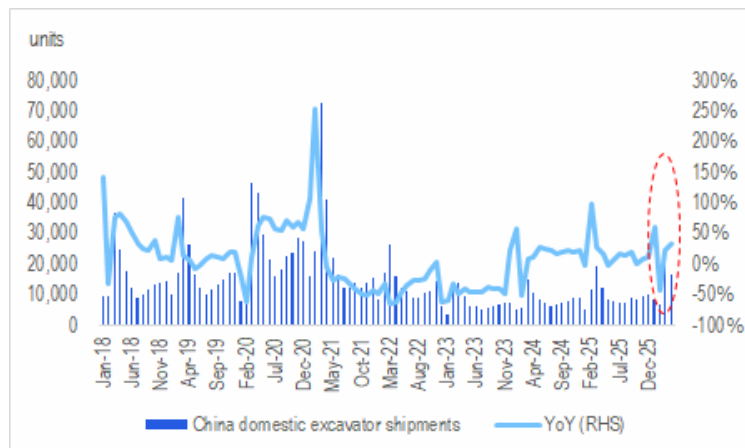
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Picture of Iran redevelopment is just a story that won't materialize soon – Both XCMG's and Sany's mgmt. note some domestic brokers painted a rosy picture regarding the upcoming potential redevelopment in Iran after the US-Iran conflict which would lead to tremendous opportunity for construction machinery and Industrial equipment. Both mgmt. cited this would not materialize soon on the back of **1)** most CN construction machinery players have little presence in that market historically, **2)** high political uncertainty there so employee safety is a concern, **3)** distribution channel is not well established yet, **4)** receipt of payment is uncertain also. Nonetheless, most of the companies (**XCMG, Sany, Zoomlion, Dingli Hangcha, Heli, Haitian**) project a faster growth trajectory in overseas (from US, Europe, Mid-East, Africa, etc.) than in the domestic China market in coming years thanks to better competitive landscape and their lower market shares.

Figure 1. China domestic excavator shipment with YoY growth acceleration in recent months



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Source: Citi Research, CCMA

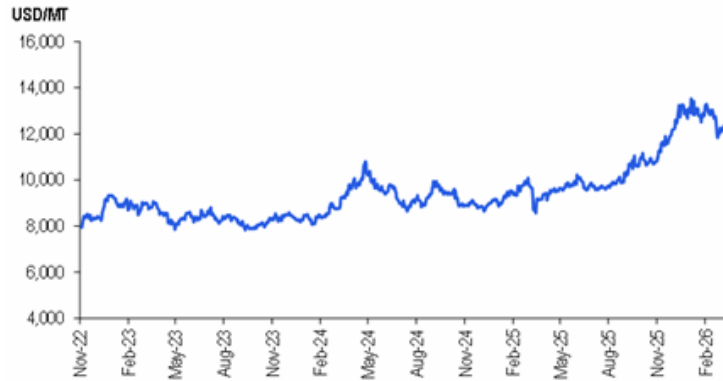
Figure 2. PVC price (Rmb per tonne)



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Source: Citi Research, NBS

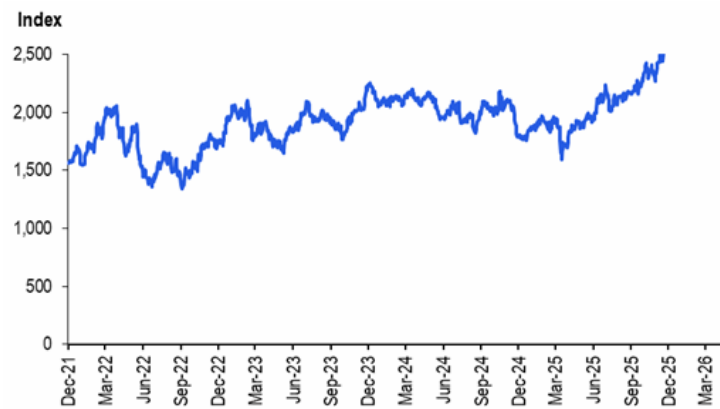
Figure 3. Copper price (US\$/tonne)



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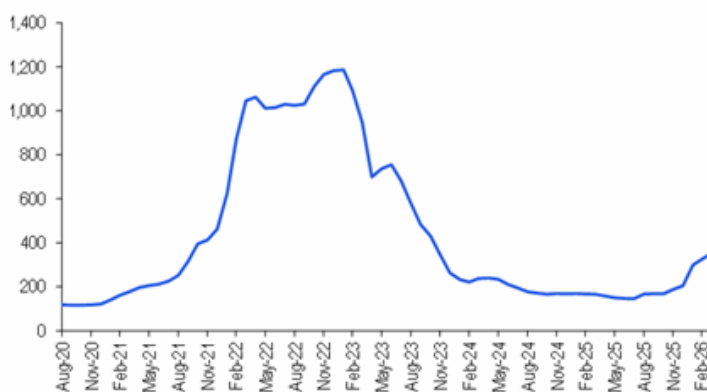
Figure 4. Steel price (index)



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Figure 5. Lithium Carbonate price (index)



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Companies Mentioned:

Anhui Heli (600761.SS; Rmb20.72; 3; 12 May 26; 15:00) | Guangxi Liugong Machinery Co Ltd (000528.SZ; Rmb9.63; Not Rated; 12 May 26; 15:00) | Haitian International Holdings (1882.HK; HK\$22.34; 1; 12 May 26; 16:10) | Hangcha Group (603298.SS; Rmb29.68; 1; 12 May 26; 15:00) | Hengli Hydraulic (601100.SS; Rmb112.5; 1; 12 May 26; 15:00) | Sany Heavy (6031.HK; HK\$23.36; 1; 12 May 26; 16:10) | Sany Heavy Industry (600031.SS; Rmb21.36; 1; 12 May 26; 15:00) | XCMG Construction Machinery Co Ltd (000425.SZ; Rmb10.47; Not Rated; 12 May 26; 15:00) | Zhejiang Dingli Machinery (603338.SS; Rmb56.51; 3; 12 May 26; 15:00) | Zoomlion Heavy Industry (1157.HK; HK\$8.21; 1; 12 May 26; 16:10)

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